ECO102:Introduction to Macroeconomics

Lecture 8: Economic Growth (Growth Theories)

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Outline

- Growth Theories
- Classical Growth Theory
- Neoclassical Growth Theory
- New Growth Theory
- New Growth Theory vs Malthusian Theory

Growth Theories

- Alternative theories of economic growth provide insights into the process of economic growth
- However, there is no one theory that provides a complete and definite answer to the basic questions:
  - What causes economic growth; and
  - Why do growth rates vary
- There are three main theories that somewhat explain economic growth:
  - **Classical Growth Theory**
  - **Neoclassical Growth Theory**
  - **New Growth Theory**

Classical Growth Theory

- ***Classical growth theory*** is the view that the growth of real GDP per person is temporary and that when it rises above the subsistence level, a population explosion eventually brings it back to the subsistence level
- **Adam Smith**, **Thomas Robert Malthus**, and **David Ricardo**: Leading economists of the late eighteenth century and early nineteenth century, who proposed this theory
- Due to the association with Thomas Robert Malthus, this theory is also called the ***Malthusian Theory***
- Modern-day Malthusians point to global warming and climate change as reasons to believe that eventually, real GDP per person will decrease

Neoclassical Growth Theory

- ***Neoclassical growth theory*** is the proposition that real GDP per person grows because technological change induces saving and investment that make capital per hour of labor grow
- Growth ends if technological change stops because of diminishing marginal returns to both labor and capital
- **Robert Solow** of suggested the most popular version of this growth theory in the 1950s.
- Neoclassical growth theory's big break with its classical predecessor is its view about population growth

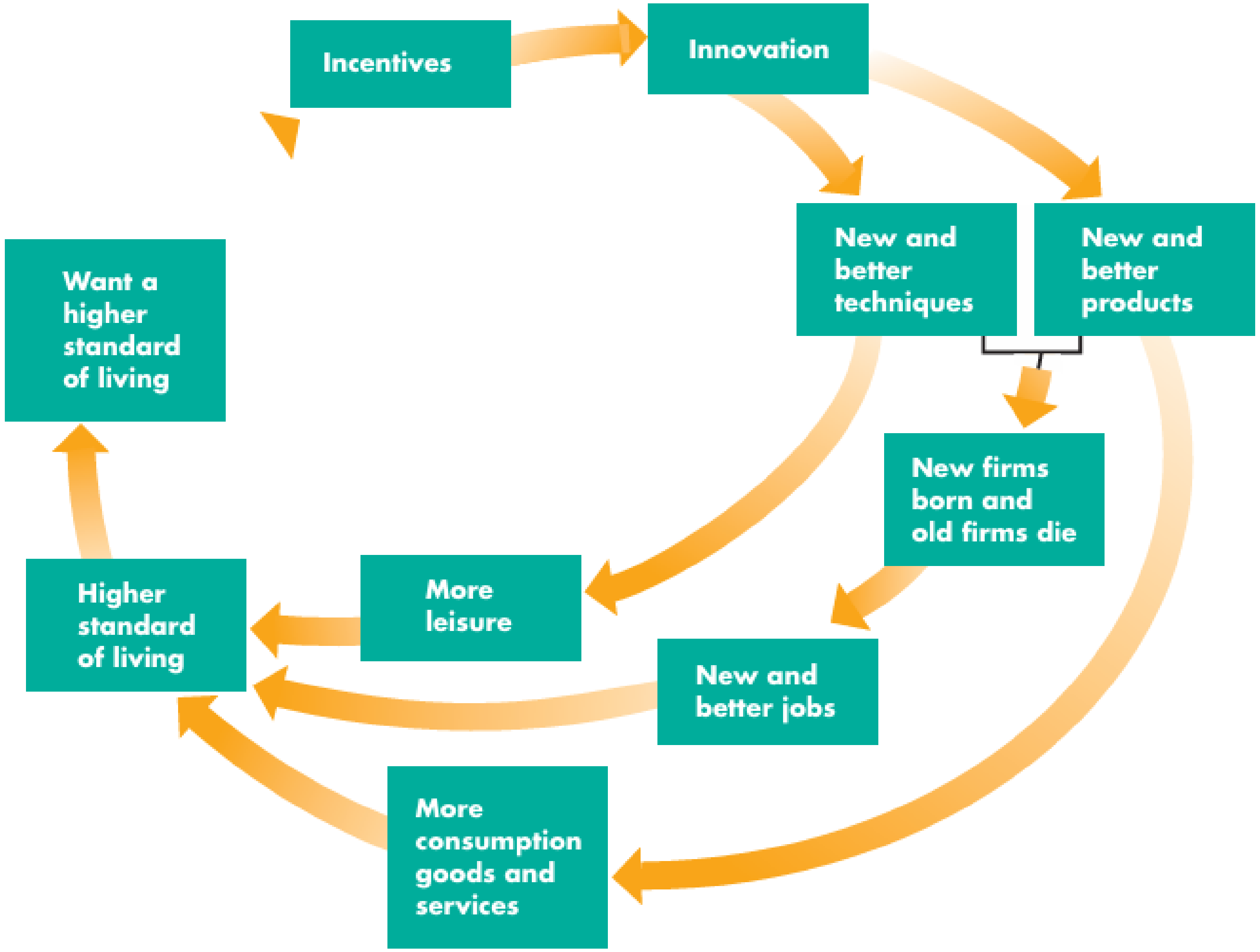
Neoclassical Growth Theory

- According to this theory, the pace of technological change influences the economic growth rate but economic growth does not influence the pace of technological change
- It is assumed that technological change results from chance
- This theory also presupposes that prosperity will last but the growth will not last unless technology keeps advancing
- A contradiction of this theory in practice is that, the real GDP growth rate and income levels per person around the world does not converge

New Growth Theory

- ***New growth theory*** holds that real GDP per person grows because of the choices people make in the pursuit of profit and that growth will persist indefinitely
- Developed by **Paul Romer**, during the 1980s, based on ideas of Joseph Schumpeter during the 1930s and 1940s
- According to this theory, the pace at which new discoveries are made does not depend on chance, but rather, on how many people are looking for a new technology and how intensively they are looking
- Profit is the spur to technological change
- Knowledge is a public good which is not subject to diminishing returns, and increasing the stock of knowledge makes both labour and machines more productive

New Growth Theory: A Perpetual Motion Economy



New Growth Theory vs Malthusian Theory

- To a **Malthusian**, population growth is part of the problem
- To a **New Growth Theorist**, population growth is part of the solution
- A larger population brings forth more wants, but it also brings a greater amount of scientific discovery and technological advance
- Rather than being the source of falling real GDP per person, population growth generates faster labor productivity growth and rising real GDP per person
- It’s important to remember that, no single theory is capable of explaining the whole story, and all have these theories have some inherent values in them

Question

WHY DO YOU THINK SOME COUNTRIES GROW FASTER THAN OTHERS?

&

IS FASTER ECONOMIC GROWTH ALWAYS A GOOD THING?